Once again, historians disagree whether there was overall economic decline as a result of the decay of the Mughal empire and the rise of a large number of autonomous states or whether trade and agricultural and handicraft production continued to grow in some parts of India while they were disrupted and declined in others, with overall trade and production not suffering any sharp decline. But, in fact, the question is not of some progress here and some decline there but of basic economic stagnation. While the Indian economy was quite resilient and there was a certain continuity in economic life, there was no greater effervescence or buoyancy in economic activities in the eighteenth century than what was there in the seventeenth century. On the other hand, there was a definitely declining trend. At the same time, it is true that there was less economic distress or decline in agricultural and handicraft production in the Indian states of the eighteenth century than what was to result from the impact of British colonialism in the eighteenth and nineteenth centuries.

Education

Education was not completely neglected in eighteenth-century India. But it was on the whole defective. It was traditional and out of touch with the rapid developments in the West. The knowledge which it imparted was confined to literature, law, religion, philosophy and logic, and excluded the study of physical and natural sciences, technology and geography. Nor did it concern itself with a factual and rational study of society. In all fields original thought was discouraged and reliance placed on ancient learning.

The centres of higher education were spread all over the country and were usually financed by nawabs, rajas, and rich zamindars. Among the Hindus, higher education was based on Sanskrit learning and was mostly confined to brahmins. Persian education being based on the official language of the time was equally popular among both Hindus and Muslims.